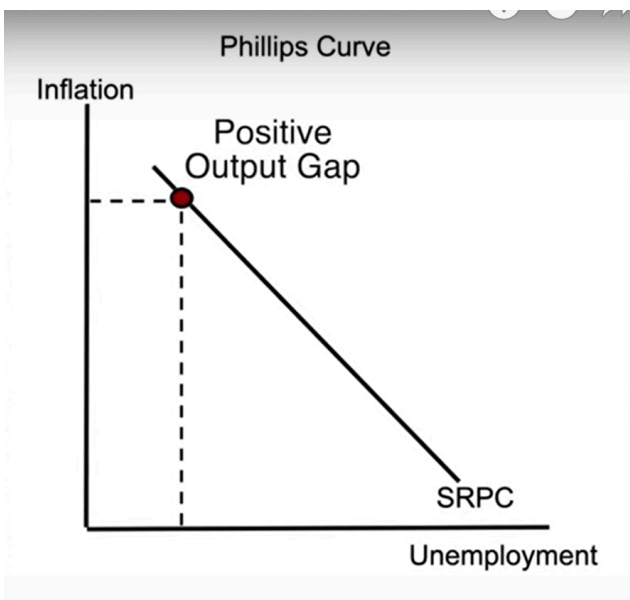




AP Macroeconomics
Unit 5 - Cheat Sheet

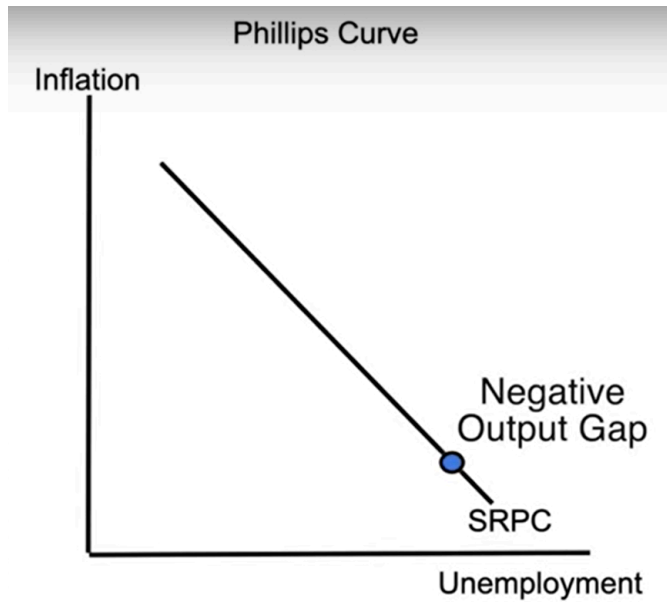
Phillips Curve - graphical model showing the inverse relationship between inflation and unemployment

- There is a short-run tradeoff between unemployment and inflation
- As labor becomes more scarce, companies must pay more and more to get the remaining labor
- Increased labor prices mean higher production costs, and therefore firms must increase the price of their goods and services (inflation)
- When unemployment is high, workers are willing to accept lower wages



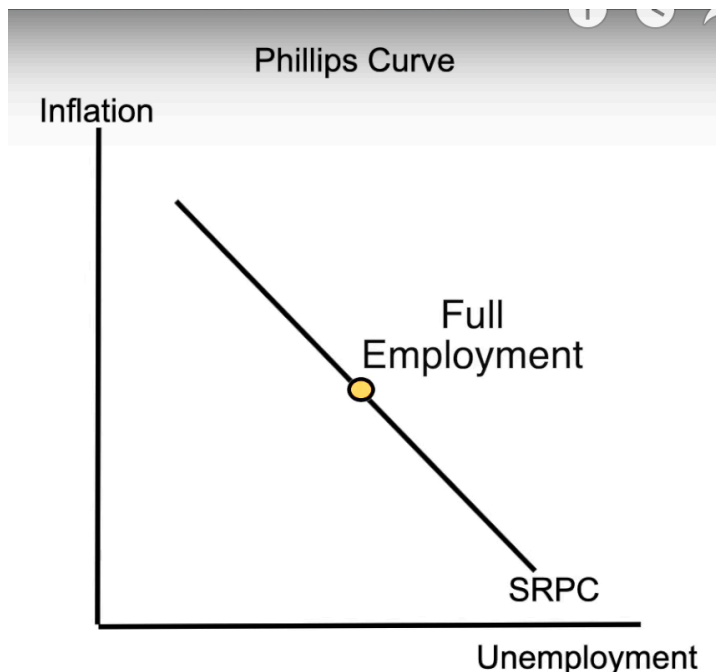
Positive Output Gap:

This point represents an inflationary gap, where production is high, unemployment is low, and prices rise



Negative Output Gap:

This point represents a recessionary gap, where production is low, unemployment is high, and there is little inflation

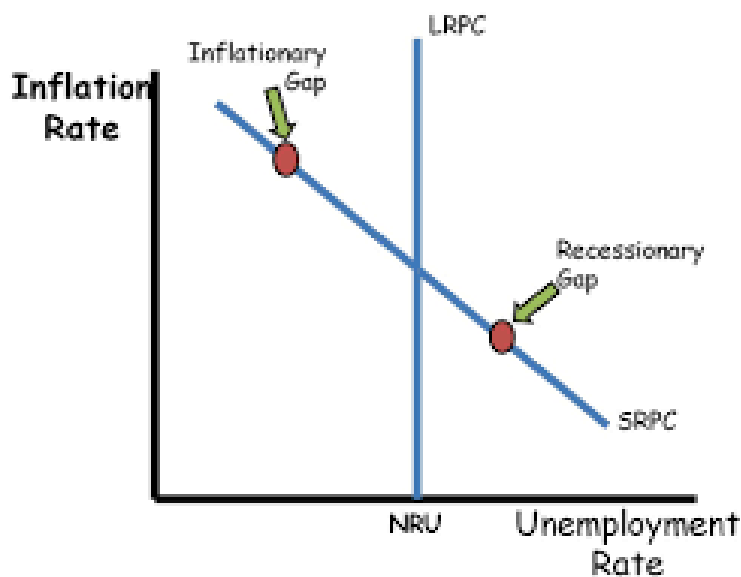


Full Employment:

Shows a situation where the economy is using its labor resources efficiently and producing at its point of potential output

Long Run Phillips Curve: represents the long-run relationship between the price level and unemployment.

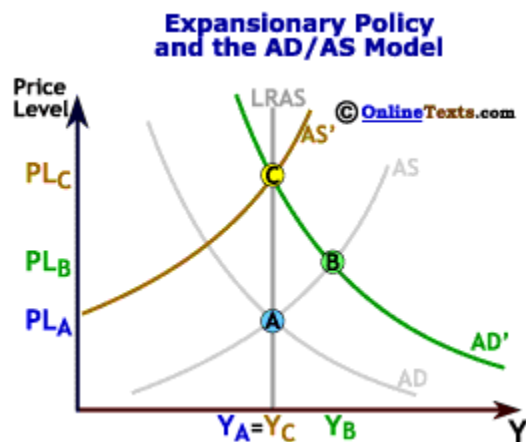
- In the long-run the Phillips curve is vertical, because the tradeoff that exists between unemployment and inflation in the short run doesn't exist in the long run.



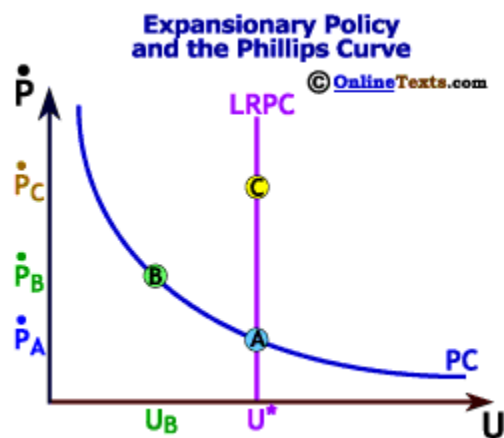
- Any shift of the aggregate demand curve will translate into a movement **ALONG** the Phillips curve
 - Decrease in aggregate demand --> downward movement along Phillips curve
 - Increase in aggregate demand --> upward movement along Phillips curve
- Any shift of the aggregate supply curve will translate into a **SHIFT** of the Phillips curve
 - Decrease in aggregate supply --> upward shift of Phillips curve
 - Increase in aggregate supply --> downward shift of Phillips curve

Expansionary Policy and the Phillips Curve

Step 1: The government implements expansionary fiscal policy that shifts aggregate demand to the right. Notice what happens to the price level.



Step 2: This increase in the price level can be shown by an upward movement along the Phillips curve

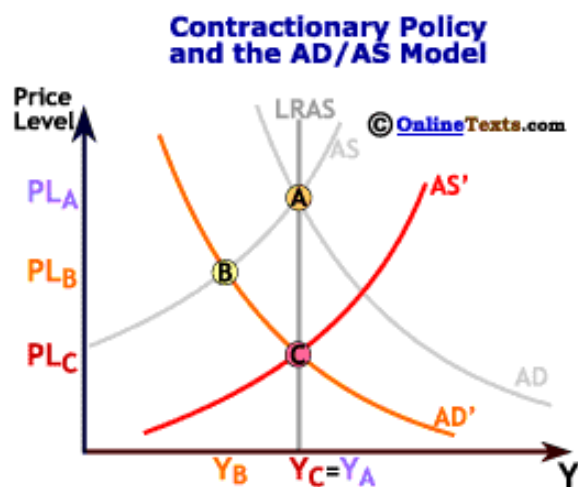


Step 3: Eventually aggregate supply will shift leftwards, as higher wages lead to less production by firms. This returns us to the long-run equilibrium (Point B to Point C)

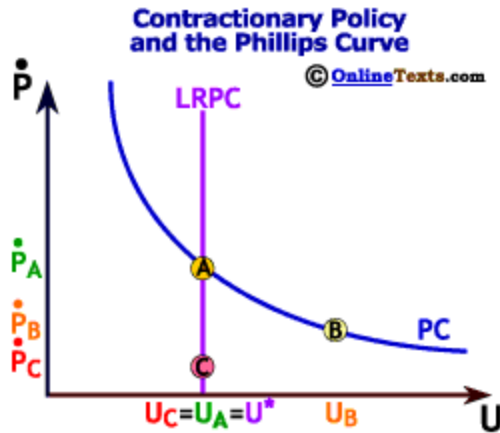
Step 4: This return to long-run equilibrium can be shown by a rightward shift in the Phillips curve

Contractionary Policy and the Phillips Curve

Step 1: A leftward shift of the aggregate demand curve leads to a decrease in the price level



Step 2: This decrease in the price level can be shown by a downward movement along the Phillips curve



Step 3: Eventually, due to lower price, aggregate supply will increase. This returns us to the long-run equilibrium (at a lower price)

Step 4: This return to long-run equilibrium can be shown by a leftward shift in the Phillips curve

5.6 - Economic Growth

Economic growth is measured by changes in real GDP per capita

How to Show Economic Growth Graphically:

- 1) A right shift of the LRAS
 - a) This shows a country increasing its production possibilities, or in other words, its full-employment output
- 2) A rightward or outward shift of the PPC

What Causes Economic Growth:

- 1) More resources (land, labor, capital)
 - a) An influx on working immigrants
 - b) Increase foreign direct investment
 - c) Discovering of new natural resources
- 2) Increased productivity or better technology
 - a) Better education, so workers are more productive
 - b) Useful technologies that help increase efficiency or increase production levels

5.7 - Public Policy and Economic Growth

Supply-Side Fiscal Policy: actions taken by the government to encourage economic growth through rightward shifts in the LRAS

- Investing in education (increased productivity)
- Invest in research and development (better technology)
- Provide tax incentives for families to send their children to college
- Provide tax incentives for businesses to increase levels of investment spending
- Lower business taxes, so that business have more money left to produce and invest